Government in regard to its external relations', while the British pledged 'to exercise no interference in the internal administration of Bhutan'.[3] On 8 August 1949, the governments of Bhutan and independent India entered into a similar agreement, which, in effect, reconfirmed Bhutan's status as a nation dependent on India but with a high degree of autonomy.[4]

But unlike Sikkim, Bhutan gradually managed to strengthen its independent status. In 1971, after being an observer for three years, Bhutan was admitted to the UN. And, in 2007, a revised treaty was signed, stating that 'the Government of the Kingdom of Bhutan and the Government of the Republic of India shall cooperate closely with each other on issues relating to their national interests. Neither government shall allow the use of its territory for activities harmful to the national security and interests of the other.'[5]

This special relationship between the two countries has made it possible for India to account for 75 per cent of Bhutan's total imports, while 85 per cent of its exports go to India. Bhutan's biggest export consists of hydropower from plants on rivers flowing down the Himalayas, and India is the sole importer. The Bhutanese currency, the Ngultrum, is tied to the Indian Rupee, with which it is on par. Strategically, Bhutan's border with China follows the crest of the mountains, which here and all along the Himalayan range separates the Indian subcontinent from the Tibetan plateau. The 1949 and 2007 treaties make no specific reference to India's defence of Bhutan but, as early as 1958, Prime Minister Jawaharlal Nehru declared that 'acts of aggression against Bhutan would be taken as acts of aggression against India itself'.[6] The Indian Army maintains a training mission, the Indian Military Training Team (IMTRAT) in Ha district, which is adjacent to the strategically important Chumbi Valley in Tibet, and Bhutanese army officers are sent for training at the National Defence Academy in Pune and the Indian Military Academy in Dehra Dun.

At the same time, Bhutan is the only neighbouring country with which China does not yet have diplomatic relations. But so as not to offend the Chinese, Bhutan remains one of the few Buddhist countries in the world that the Dalai Lama has not visited, although the population there practises a form of Buddhism similar to that of Tibet. Following the 1959 Lhasa uprising, 6,000 Tibetan refugees poured into Bhutan. They were allowed to stay on condition that they did not engage in any political activity. In 1981,